

RIDING THE WAVES

The shipping industry is on the brink of a transformation. Beyond government support and technological advancements, what are the other driving forces and emerging trends that will define the landscape in 2025?

BY NAVNEET DUBEY • ILLUSTRATIONS BY NILANJAN DAS

THE SHIPPING INDUSTRY is on the brink of a transformative era, with major advancements expected as early as next year. This sector, which serves as the backbone of international trade, is set to benefit from the government's increased investment in port infrastructure.

Enhancing facilities at existing ports and developing new ones will not only improve operational efficiency but also position the country as a key player in the global trade network. These initiatives are anticipated to lead to faster cargo processing, reduced vessel turnaround times, and the ability to handle larger trade volumes.

Over the past few years, the Indian government has shown a marked commitment towards bolstering the shipping industry through increased budgetary allocations, with ₹1,527.55 crore earmarked in 2021-22 for the Ministry

of Ports, Shipping, and Waterways. This figure witnessed a steady rise, reaching ₹2,395 crore, as per the Revised Estimates for 2023-24 (see chart 'Budget Trends'). For 2024-25, the Budget Estimates stand at



**₹2,395
CRORE**

**REVISED ESTIMATES
OF OUTLAY FOR THE
MINISTRY OF PORTS,
SHIPPING, AND
WATERWAYS IN FY24**

₹2,377.5 crore, lower than the previous year's revised figures but still reflecting a substantial investment compared to earlier years.

This trend underscores the government's dedication to strengthening India's shipping and port sector as part of its larger economic development and trade facilitation goals. The ripple effects also include robust economic growth and the creation of job opportunities, benefitting multiple sectors.

However, the geopolitical turmoil has significantly disrupted global trade routes, extending transit distances and pushing freight rates to unprecedented levels. According to Ravi Singh, Senior Vice President-Retail Research at Religare Broking, the shipping industry is in recovery mode after the pandemic, with a higher demand for global trade, supply logistics, and continually increasing orders of new vessels. "However, high fuel